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Fundraising of Nonprofit Organizations: Specifics and New Possibilities

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ABSTRACT

Fundraising can be viewed as a systematic activity aimed primarily at raising financial resources for the activities of either an organization or an individual. The inconsistency of this effort usually cannot be blamed on internal factors within an organization, but rather phenomena of a macroeconomic, legislative or societal nature. In an effort to gain an insight into the measure of utilizing fundraising principles in nonprofit organizations, extensive research was conducted for the ninth time among nonprofit organizations in the Czech Republic, the sample of which consisted of 313 fully completed questionnaires. Based on the research results focusing on fundraising, measures were proposed to expand the possibilities of ensuring effective multisource funding for a selected nonprofit organization. One of these options and at the same time the current trend in marketing not only for the nonprofit sector is crowdfunding. Crowdfunding is a new concept of funding projects that has seen a significantly growing trend in the fundraising is part of marketing activities, or at least it is very closely connected with them.

KEYWORDS

Fundraising; research; crowdfunding; sustainability

Introduction

Every year, nonprofit organizations in the Czech Republic are faced with instability in funding their activities. In their case, it is about the constant daily struggle to raise sufficient financial resources to ensure their operation. The nonconceptual nature of this effort cannot usually be blamed on the organization's internal factors, but rather can be attributed to phenomena of a macroeconomic, legislative, and societal character. In an effort to gain an insight into the extent of application of fundraising principles in nonprofit organizations, further measures aimed at expanding the possibilities of effective multisource funding will be proposed for a selected nonprofit organization.

Introduction to Fundraising of Nongovernmental Nonprofit Organizations

Nowadays, nongovernmental nonprofit organizations (NGO) form an integral part of every modern society. The tightening competition in the nonprofit sector, caused mainly by the number of

NGOs growing every year while the number of voluntary donors remains constant, has resulted in the fact that it is increasingly difficult to raise the funds necessary for long-term functioning of an organization and achieving its mission. A substantial, if not decisive, role in gaining the necessary means is that of fundraising.

Fundraising can be viewed as a systematic activity aimed primarily at raising financial resources for the activities of either an organization or an individual. From another point of view, fundraising can be viewed as a science that deals with the motivation to do good and the conviction of people that money is not everything (Šobánková, 2010).

According to Poláčeková (2005), fundraising is a professional, targeted, and both organizationally sophisticated and time-conscious activity aimed at finding sponsors and gaining financial means intended for the support of publicly beneficial or charity purposes.

Another definition of fundraising is the statement that the purpose of fundraising is not for

nonprofit organizations to raise money, but to get help in managing their relations with public donors with whom they share goals and intentions.

There are various classifications of sources of funding of nonprofit organizations (e.g. Figure 1). According to the authors Hyánek, Škarabelová and Řežuchová (2016), sources of funding can be divided into the following categories:

- Public funding
 - ⇒ Domestic sources (state administration, local authorities),
 - ⇒ Foreign sources (European Union, ...);
- Nonpublic funding
 - ⇒ Foundations,
 - ⇒ Corporate donations,
- Donations from individuals;
 - ⇒ Income from the NGO's own activities,
 - ⇒ The organization's own activities,
 - ⇒ Membership fees,
 - ⇒ Income from lotteries and games of chance,
 - ⇒ Advertising,
 - ⇒ Public collections.

These are the so-called direct sources of income. Indirect sources include tax allowances (income tax, value added tax, road tax, excise tax, property tax, ...) (Hyánek, Škarabelová, & Řežuchová, 2016).

Research into the Nonprofit Sector in the Czech Republic

Research Introduction – Methodology

In cooperation with the organization SANEK Ponte o.s. (Hommerová & Sanek, 2015), the authors of this article regularly take part in the realization of annual research into nongovernmental nonprofit organizations in the Czech Republic.

A total of 313 organizations took part in the ninth annual research into the management of nongovernmental nonprofit organizations. More than one-third of respondents were social service organizations (122). Therefore, research results and subsequent recommendations are of great importance for the provision of social services within the nonprofit sector.

Based on the substantially transforming nonprofit sector in terms of professionalism, the 2015 questionnaire included a question that divided organizations into “professional” (159) and “nonprofessional” (154) organizations. For this reason, there are two charts provided for some of the questions followed by two separate interpretations. The responding organizations themselves decided whether they consider themselves to be more “professional” nonprofit organizations applying the principles of a management system, active PR management, fundraising and others,

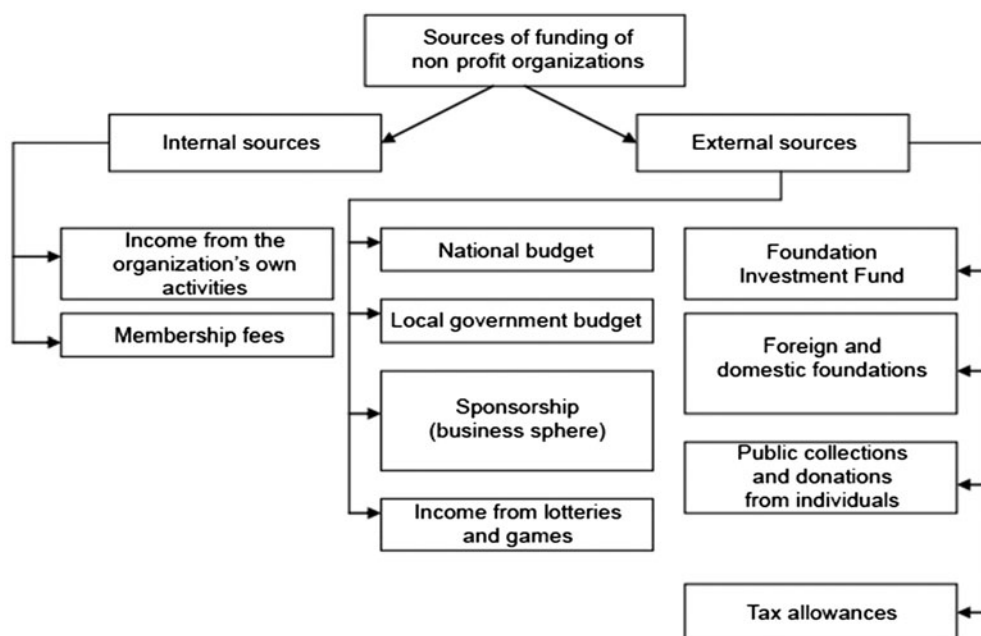


Figure 1. Funding of nonprofit organizations. Source: Pehe (2015).

or whether they view themselves more as “nonprofessional” organizations, not applying systems of management, but based rather on voluntary activities.... The division of nonprofit organizations according to the level of professionalism is used also by other authors, e.g., Bačuvčík (2011) as well as foreign authors, e.g., Helmig and Boenigk (2012).

The two groups of respondents are characterized as follows:

“Professional” organizations

- Organizations that apply management systems
- Actively work with PR, fundraising and human resources
- 159 respondents

“Nonprofessional” organizations

- Small/emerging organizations on a voluntary basis or with a minimum number of paid staff
- Those that do not apply management systems
- 154 respondents.

Goal of the Research into the Nonprofit Sector in the Czech Republic

The objective of this annual research into the nonprofit sector in the Czech Republic is:

1. To assess the situation of nonprofit organizations, identify their biggest issues (weak points) and barriers (threats) for sustainability.
2. To present the research results to the appropriate institutions that deal with support for the nonprofit sector as well as the participating nonprofits themselves. That means the hand-over of the assessment of results and expert commentaries, including recommendations by experts, both academicians specializing in the nonprofit sector as well as members of management of successful nonprofit organizations. At the regional level, this specifically includes training sessions and workshops organized for nonprofit organizations and the incorporation of current topics into the nonprofit fair. These materials are further provided to the Government Council for Nongovernmental Nonprofit Organizations.

Given the annual frequency of the research, one of the goals is also to assess the development of selected areas over time. This provides the feedback necessary to assess the efficiency of past activities aimed at supporting the nonprofit sector. Based on the statistical assessment of collected data, it can be said that respondents took the research seriously and their answers were consistent.

Brady, Brace-Govan, Brennan, and Conduit (2011) presents the results of research (approximately the same number of respondents – 401, though administered in CATI form – Computer Assisted Telephone Interviewing) into the nonprofit sector in Australia, focused exclusively on market orientation and the utilization of marketing in the nonprofit sector. Brady et al. (2011) compare the key differences across the various areas of interest of nonprofit organizations. In her article, Brady explains the importance of the research into the nonprofit sector and adds that it would be desirable to compare the survey conducted in Australia with other research studies available. In 2005, a research study of the nonprofit sector with a focus on the use of marketing strategies was conducted in western Michigan (Pope, Sterrett Isely, & Asamoah-Tutu, 2009). One of the first research papers on the implementation of a marketing concept in nonprofit organizations was presented by Capella et al. (1993) from 1993 to 1994. Only a handful of comparative studies have been conducted so far, e.g., research into the nonprofit sector in the USA, Great Britain, and Australia (Dolnicar & Lazarevski, 2009). At the end of the study, Brady et al. (2011) reiterate that the nonprofit sector should be the center of attention for science and research, and that efficient use of marketing activities in an organization and an optimum setting of its market orientation depends on other processes within the organization. Therefore, any research should take into consideration the comprehensive functioning of a nonprofit organization.

Statistical Methodology

The data from 313 questionnaires (159 “professional” and 154 “nonprofessional”

organizations) from approximately 123,000 non-profit organizations registered in the Czech Republic were processed using the MS Excel and Statistica 10 CZ software applications. Answers to close-ended questions can be considered as realizations of discrete random values. In most cases, the possible answers to a particular question were sorted in such a way that they presented ordinal values, and here we talk about the so-called categorized data, as the answers were assigned numbers 1, 2, 3, ...

When a respondent failed to answer a question, the number 0 was assigned. To give an example: the numbers assigned to administrative regions do not contain an implicit order, but numbers assigned to some answers, e.g., “never” = 1, “sometimes” = 2, “always” = 3 do contain an order, i.e., they form the so-called ordinal values. Such sequencing usually contributes, among others things, to easier interpretation of the results of statistical tests and makes it easier to merge rows or columns in contingency tables.

First, the absolute incidences of answers for the various questions were determined, and for better orientation they were often expressed in percentage points and demonstrated graphically. Further, $r \times s$ tables were compiled with n_{ij} incidence of answers for combinations of selected values. The selected combinations were those where possible connections were hypothetically expected. These hypotheses were then statistically tested – rejecting a hypothesis of independence means proof of a connection (statistical dependency).

The objective was to answer the question of whether there was a link between certain selected values (questions, characteristics) in the given group or not. For this situation, the so-called Pearson’s chi-squared test of independence in a contingency table is usually used (Agresti, 2013). Otherwise, standard markings were used where Pearson’s test compares acquired experimental (observed) incidence n_{ij} with theoretical (so-called expected) incidence n'_{ij} , which can be expected in the case of independence. These can be calculated as follows:

$$n'_{ij} = \frac{n_{i.} \cdot n_{.j}}{n}, \quad i = 1, 2, \dots, r; \quad j = 1, 2, \dots, s, \quad n_{i.}, \quad (1)$$

$n_{.j}$ are row or column sums.

The difference between the observed and expected incidence $n_{ij} - n'_{ij}$ is referred to as the residual.

As the test criterion, we use the following statistics

$$\chi^2 = \sum_{i=1}^r \sum_{j=1}^s \frac{(n_{ij} - n'_{ij})^2}{n'_{ij}} \quad (2)$$

which in the event of independence and given a sufficient number of observations (respondents) n approximately χ^2 – distribution with $\nu = (r - 1)(s - 1)$ degrees of freedom.

It is a limit distribution with the use of various practical criteria defining the term “sufficient number of observations”, e.g.:

1. A minimum occurrence in the table should be such that expected incidence $n'_{ij} > 5$
2. A maximum of 20% of expected incidence $n'_{ij} < 5$ and no expected incidence is less than 1, (according to some authors, no expected incidence is less than 2).

With the chosen alpha level, the critical value W is: $\chi^2 > \chi^2_{1-\alpha}[\nu]$, which leads to the rejection of H_0 about the independence of the significance level α , by which the dependence of both qualitative random values is considered to be proven. (As for the p value, it is the level at which H_0 would still be rejected.)

In tables where the hypothesis of independence was rejected, a detailed analysis of interaction links between the row and column categories was conducted. Standardized residuals with limit Gaussian distribution were used. The terminology is not entirely consistent here – in Statistica CZ version 10, the “standardized residuals” are referred to as “standardized deviation” = (observed – expected)/standard error of mentioned difference. Subsequently, the appropriate p value of Gaussian distribution was calculated in MS Excel for the standardized deviation.

As these are basically the so-called multiple comparisons (another term used is “post hoc” analysis), the p values need to be appropriately adjusted.

There are a number of ways of doing that. The 2015 research used a modified Bonferroni’s correction according to Agresti (2013). These p values were organized in tables where a combination of the row and column values resulted in an observed incidence that is statistically significantly different from the appropriate expected incidence.

The fact that the research is repeated on an annual basis ensures both the validity and reliability of its results. The questionnaire is updated each year with respect to any issues that were identified in its previous evaluation and with respect to the current trends in the management of nonprofit organizations or any changes in the external environment (e.g., legislation – the new Civil Code and others).

The survey was administered in the months of March and April 2015 by the CAWI (Computer Assisted Web Interviewing) method. CAWI combines the advantages of both qualitative and quantitative research and thus presents a new dimension in research methods. Answers are recorded in electronic form, which allows them to be processed quickly and efficiently. Following the pilot phase, a link to the questionnaire form was sent to all the contacts in the database of the SANEK Ponte organization, i.e., over 2,000 nonprofit organizations, and at the same time distributed to selected cooperating umbrella organizations for nonprofit organizations and the appropriate departments of

regional authorities, requesting cooperation and support for the research.

The processing of the data and the statistical analysis was followed by synthesis and induction and the resulting interpretation of the acquired data, including evaluation of the development of selected results over time. Subsequently, the results and interpretations are normally consulted with experts working in the key areas of the management of nonprofit organizations. The survey concludes with recommendations aimed at improving the position of nonprofit organizations.

Research Results: Fundraising

The greatest number of organizations uses a long-term financial plan only for individual projects (Figure 2). The responses are further divided according to the professionalism of organizations. More than a fifth of “professional” organizations (37) have a financial plan as part of a strategic document, while only 13 “nonprofessional” organizations have one. A third of “nonprofessional” organizations (46) do not consider a financial plan to be necessary. An equal number of both “professional” and “nonprofessional” organizations (30 in each category) do not have a financial plan, but would be interested in having one.

Once again, with reference to the main priorities of nonprofit organizations at present (note: The most frequently stated priorities of “professional” organizations are (see Figure 3) strategy (36), daily operation (32), and development of services (25). The areas most often

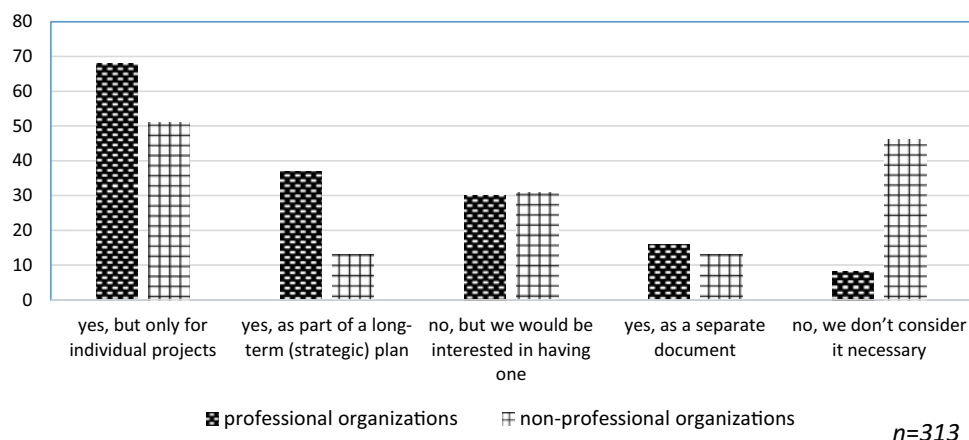


Figure 2. Long-term fundraising plan.

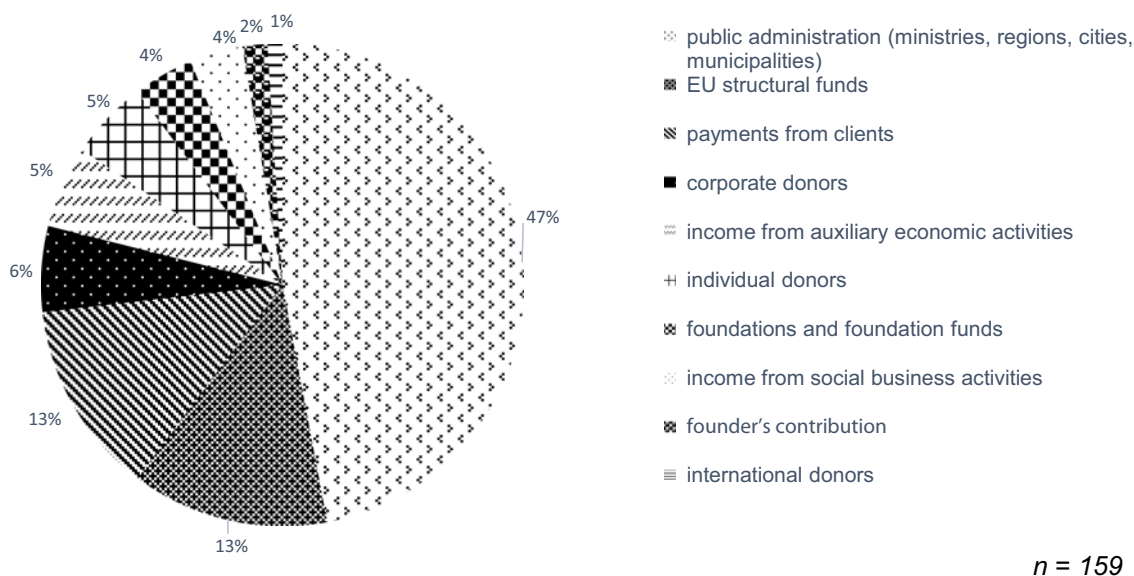


Figure 3. Sources of funding – “professional” nonprofit organizations.

chosen as a second priority included fundraising (40), development of services (36), and our operation (26). It comes as no surprise that there has been an increase in the area of long-term financial planning (this corresponds with the application of elements of strategic planning) and more than 70% of all respondents (230) put together a long-term funding plan in one form or another (119 of all respondents do so only for individual projects).

Half of the “nonprofessional” organizations (77) have a long-term funding plan – see Figure 4. Nonprofessional organizations try to cover most of their activities themselves and with the help of volunteers; however, that does not mean that they do not incur costs in connection with these activities. Another point of view is that “professional” organizations are better able to calculate how much money they need and what exactly they are going to do with it.

Evaluation of “Professional” and “Nonprofessional” Nonprofit Organizations

In all organizations that participated in the survey, the most financial resources come from public administration and clients (43%). Responses differed in “professional” organizations (Figure 3), which use more EU structural funds (13%), but on the other hand “nonprofessional” organizations

obtain more funds from individual (12%) and corporate (10%) donors (Figure 4).

As for the structure of funding, in comparison with those in the past, the options in this year’s questionnaire survey were expanded to reflect the current trends, particularly funding from structural funds, the option of international donations and income from the organization’s auxiliary economic activities. When it comes to sources of funding, there is a noticeable difference between “professional” and “nonprofessional” organizations. “Professional” organizations use EU funds more because of their better knowledge of the challenges, their experience with the application process and the greater chances of successfully meeting the set requirements. “Nonprofessional” organizations are more interested in acquiring funds from individual and corporate donors who often happen to be consumers of their services.

In “nonprofessional” nonprofit organizations, a statistically significant dependence has been identified.

Comments on the Dependence of Selected Variables

A “post hoc” contingency table analysis, in which the rows are variable 60 [Do you use long-term planning in your organization?] and variable 94 [Do you have a long-term funding plan in your

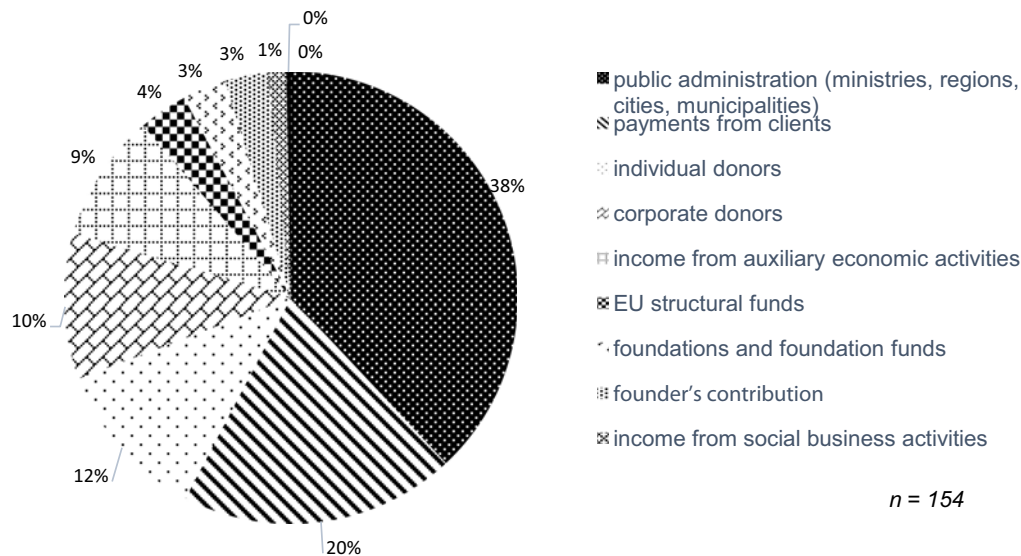


Figure 4. Sources of funding – “nonprofessional” nonprofit organizations.

organization?]

 has resulted in the following findings:

1 × 2

The combination of the row value of 1 “yes, we have an annual strategic plan” and the column value of 2 “yes, we have a long-term funding plan as part of a long-term strategic plan” has shown a statistically significantly higher frequency ($p < 0.05$) than what would correspond with the independence of variables (aspects) 60 and 94.

If “nonprofessional” nonprofit organizations use a strategic plan, they also include in it a long-term funding plan.

4 × 4

The combination of the row value of 4 “we haven’t used a plan yet, but we would like to start” and the column value of 4 “we don’t have one, but we would be interested” has shown a statistically significantly higher frequency ($p < 0.05$) than what would correspond with the independence of variables (aspects) 60 and 94.

5 × 5

The combination of the row value of 5 “no, we don’t consider it necessary” and the column value of 5 “no, we don’t consider it necessary” has shown a statistically very significantly higher frequency ($p < 0.001$) than what would correspond with the independence of variables (aspects) 60 and 94.

Both of the above-mentioned dependencies confirm the reliability of the survey conducted.

Those organizations that plan strategically also use long-term financial planning, and vice versa.

Other combinations in the table (after multiple comparisons) do not appear to be statistically significant.

Overall Summary of the 2015 Survey – Fundraising and the Prospect of its Use by Nonprofit Organizations in the Future

In terms of fundraising (i.e., multisource funding), the results of the research conducted and the literature search clearly indicate (see, for example, the 2014 Civil Society Organization Sustainability Index for the Czech Republic (AVPO ČR – The Association of Public Benefit Organizations in the Czech Republic, 2015)) that nonprofit organizations, particularly the larger ones (later referred to as “professional” organizations) are better able to prepare projects and draw up grant applications. However, due to the growing number of “players” and the amount of resources available in subsidy programs not increasing proportionately to the number of existing nonprofit organizations, the amounts allocated as part of projects, grants, and subsidy programs have been decreasing. In 2014, the Czech Republic saw a growing trend of nonprofit organizations engaging in on-line methods of fundraising activities. Making donations in the virtual space is typical mainly of young people.

According to Act No. 586/1992 Coll., on Income Taxes, subsidies, grants, and donations to nonprofit organizations continue to be exempt from tax. Organizations in the nonprofit sector are entitled to reduce their tax base by up to CZK 300,000. A new obligation for nonprofit organizations is to clearly separate their activities related to the performance of their mission from their business activities.

According to the 2014 Civil Society Organization Sustainability Index for the Czech Republic Final Report (AVPO ČR – The Association of Public Benefit Organizations in the Czech Republic, 2015), mainly stable and large nonprofit organizations use regular strategic planning in an effort to ensure multi-source funding, while smaller organizations usually plan for one year at a time. The realization of strategic planning by nonprofit organizations in 2014 was also required by corporate donors assessing the sustainability of projects they were interested in supporting, and thus indirectly also the sustainability of the entire organization.

The nonprofit sector in the Czech Republic is very varied in terms of the areas in which individual organizations operate, and they cannot be approached in a uniform manner, which would be most convenient mainly for government purposes.

Part of the “John Hopkins Comparative Nonprofit Sector Project” research project also dealt with fundraising sources. Compared to other countries that took part in the research project, the Czech Republic displays the second highest share of resources from the state and public administration – 65%, while 22% was made up by payments and 13% philanthropy (Salamon, 2013).

A major shift in the data acquired in recent years occurred as a result of the change in the Civil Code that became effective on January 1, 2014. The transformation of some forms of nonprofit organizations, the termination of some and the formation of new forms of nonprofit organizations has resulted in the inability to continually track the development of responses to questions regarding the legal form of the respondents and compare them with the period prior to 2014.

It is very interesting to continually watch the results of the study of the nonprofit sector in the Czech Republic, to be able to compare the results

of the responses to the same or similar questions over the years. It's not so much the current results, but their comparison that speaks of the changes and trends that have occurred over time.

A continuing problem for the nonprofit sector is the shortage of financial space-time. Nonprofit organizations exert a lot of effort to gain various subsidies; however, these are usually rather unsystematically distributed not only at the regional, but also national level. Such fundraising is rather time-consuming and not very effective. As a result, there is little capacity left for other processes within an organization, such as marketing activities.

Especially in small nonprofit organizations, funding is addressed at random and with no systematic approach, which reduces the chances of the organization's sustainability. Just like other management processes, financial management must also be based on a good quality, elaborate, and long-term financial plan. Organizations should analyze both the existing and potential sources of funding. They should have their database and information on various subsidy programs up-to-date and should respect and apply unwritten conventions in fundraising (e.g., to give thanks for a payment or donation, to be able to answer questions about how the resources will be used, and to respect people's right to refuse to help, etc.).

If nonprofit organizations realized the power and significance of effectively applied marketing activities and also focused on the latest marketing trends, with time they could gain a competitive advantage, improve and facilitate access to multi-source funding, strengthen their position in the market and even contribute to the growth and further development of their activities and sustainability. One such trend in the area of fundraising is clearly *crowdfunding*.

In his article “*The Sustainability Formula – How Nonprofit Organizations Can Thrive in the Emerging Economy*”, Peter York (2015) from TCC Group presents the sustainability formula, see Figure 5.

Management/Leadership

Under the term “management”, York (2015) understands a clearly defined vision and mission

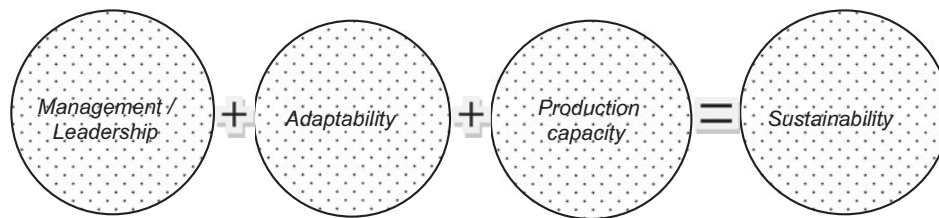


Figure 5. The basic formula to calculate the sustainability of a nonprofit organization.

of an organization, shared not only across the organization's management, strategic planning in cooperation with internal as well as external stakeholders, and the elaboration of a cost analysis of the efficiency of the planned programs. What is important is not only systematic work with the organization's management, but also with its staff (employees or volunteers) and external stakeholders.

Bačuvčík (2011) explains and elaborates on the difference between the terms “management” and “leadership”. A successful management should not only “do things right”, but most importantly, they should “do the right things”, which means they should be able to decide on the optimum path and convince their subordinates to embark on this path with them. A good manager should also be a leadership figure.

The fundamental structure of the management process is made up of eight segments – analyses, definition of the vision/mission, definition of the goals, segmentation of the target groups, choosing and preparing the strategy, planning and realization of measures and individual projects in the nonprofit sector, implementation of the management concept, and subsequent inspection.

Adaptability

We can distinguish between financial and practical adaptability. In terms of the financial point of view, it is important for nonprofit organizations to build long-term relationships with institutions, companies, and individuals who significantly support their activities. Sophisticated financial management should apply principles of transparent management in the sense of the strategy of cost efficiency rather than only cost effectiveness. If a nonprofit organization concerns itself with the cost efficiency of its efforts, it can

set, in line with the organization's vision, its efficiency indicators in a more sophisticated manner than just the mere sum of costs per output or the number of strategies applied, thus creating an important tool for decision making in the organization.

A financial plan should reflect the local, regional, national, and in many cases also international trends. The document (agenda) should be objectively evaluated and its output should be in line with the organization's vision and mission. It should not diverge too far to ensure the nonprofit organization's consistency on the outside. Both ways of understanding adaptability are based on human resources, which again points to the questions and rules of people management in the particular organization.

Production Capacity

The provision of services thanks to an optimized program, appropriate knowledge and experience of the staff and the possibility of development of an effective program – all that combined determines production capacity.

Experience and knowledge are connected with information and data that need to be worked with, analyzed, updated, and interpreted. An organization that strives for an optimum way of working with data can be called a learning organization.

In his work, York (2015) puts forth ten recommendations on how to ensure sustainability of nonprofit organizations in the newly emerging economy. His recommendations and the introduction of four key elements contributing to sustainability in the nonprofit sector are based on the results from the past ten years at the local, regional, and national level of research into core capacity. The output of this research is the CCAT

methodology (*The Core Capacity Assessment Tool*) (Figure 6) for the evaluation of effectiveness in the nonprofit sector. This methodology was tested on 700 organizations over a period of 2.5 years. The basis for the assessment was a regression analysis with one or multiple independent variables.

The research results, see Figure 6, indicate that 28% of the responding nonprofit organizations perceive themselves as strong organizations meeting the requirements for sustainability, while 30% of the respondents and tested organizations are not managed and operated in the spirit of sustainable development. 42% of the responding organizations showed a satisfactory state in terms of sustainability in the changing economy.

In the Czech Republic, sustainability, or more precisely, factors in the success of nonprofit organizations, were dealt with, among others, by Novotný and Lukeš, who conducted research in 230 nonprofit organizations in the Czech Republic as part of research grant GA ČR 402/06/0686. Based on this research, they defined factors in the success of nonprofit organizations, which, after data collection, were analyzed using methods such as regression analysis, the same as in the case of the CCAT methodology. Individual sections of the questionnaire corresponded with the five basic elements of sustainability in the nonprofit sector. Some sections were elaborated in more detail than others.

The success of an organization was calculated as a combination of financial indicators, the increase in the number of people associated with the organization and also the setting of weights on the part of the assessor.

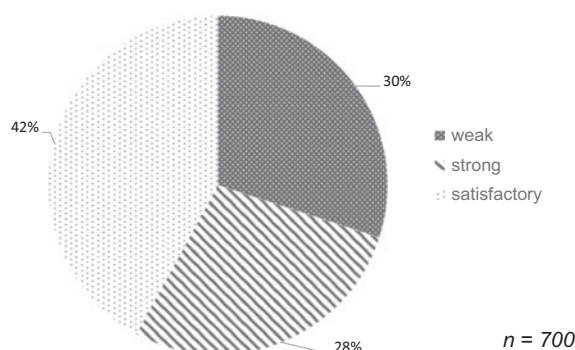


Figure 6. The perception of nonprofit organizations in terms of sustainability – CCAT methodology.

To calculate the success rate, they used the following formula: (Novotný & Lukeš, 2008).

The success of a nonprofit organization = $0.75 * \text{fin2} + 0.1 * \log \text{ of the average number of members and clients} + 0.1 * \log \text{ of the increase in the number of employees} + 0.05 * \text{their own subjective evaluation of their success}$, where $\text{fin2} = 0.7 * \log \text{ of the average annual increase in revenue} + 0.2 * \text{the size of the organization (divided into six groups according to revenue)} + 0.1 * (\text{the number of profitable} - \text{unprofitable years})$.

As part of their research, Novotný et al. defined statistically significant factors affecting the success of an organization as follows: (Novotný & Lukeš, 2008)

- ⇒ Utilizing the variable component of the salary depending on work performance
- ⇒ Systematic further education of staff depending on their competencies
- ⇒ Systematic promotion of activities and the organization itself in line with strategy
- ⇒ Systematic assessment of the effectiveness of promotional activities
- ⇒ Written long-term financial plan
- ⇒ Regular review of the cost and revenue plan vs. actual results
- ⇒ Elaborate fundraising activities
- ⇒ Innovative approach of the organization and being first to come up with new projects.

The research suggests that nonprofit organizations are generally willing to share their know-how for success free of charge – 68% of the responding NGOs said so (Novotný & Lukeš, 2008).

According to Novotný and Lukeš (2008), a successful nonprofit organization is that which:

- ⇒ Is trustworthy and has a good reputation and brand – it is also positively viewed by the organization's employees and others with whom the company cooperates
- ⇒ Has a clearly defined SMART goal
- ⇒ Is transparent – publishes annual reports
- ⇒ Has quality PR
- ⇒ Has a wide range of supporters, donors and sponsors – proof of well-executed fundraising

For an organization to be sustainable in the long-term, it must use the kind of marketing management that, while respecting the vision and mission of the organization, helps to achieve the goals of the organization and communicates a targeted and consistent message to groups of stakeholders (clients, volunteers, donors, the public, and others). Moreover, if all these sections of the organization work together and present themselves consistently to the outside world, it makes the organization more recognizable and identifiable and increases its significance.

Marketing orientation provides the organization with systematic means to coordinate activities in such a way as to attract resources. If the various areas of the nonprofit sector focus on its management and priorities, the efforts to bring in contributions, grants, volunteers, corporate support, etc., reflect organizational priorities rather than those of the program director or the priorities of individual members of the board of directors. The energy of the core employees focuses on areas that are most likely to offer the greatest benefit for the organization.

Crowdfunding – New Trend in Fundraising

In the book “Nonprofit Marketing: Marketing Management for Charitable and Nongovernmental Organizations”, Wymer, Knowles, and Gomes (2006) presents the significance of the Internet for nonprofit organizations. As the limiting factors he sees the availability of ICT equipment and the creativity (to which we add the competence and knowledge) of managers of nonprofit organizations. It is through the Internet that nonprofit organizations communicate with external groups. The more professional an impression an organization makes and the more professional website it has, the more trustworthy and professional it appears. Apart from communicating the vision and mission of organizations, attracting volunteers, direct mailing (e-newsletters, e-mails, and offers of services), and distributing educational materials, websites are used for the purpose of fundraising activities. Products can be sold on-line. (Wymer et al., 2006) When the above-mentioned book was published, crowdfunding, i.e., community funding, was not yet a well-known concept. Belleflamme, Lambert, and

Schwienbacher (2013) also confirm in their article “Individual crowdfunding practices” that this new fundraising tool has not been addressed in scientific literature and that we are only now beginning to gain knowledge of it.

The largest boom in crowdfunding servers occurred worldwide after 2006, and in the Czech Republic it was after 2008. The Internet is an environment conducive for the development of new trends, just consider Web 2.0 type applications, and also the use of social media, the so-called crowdsourcing (an open appeal to society to get engaged in the preparation and development of a product), and a subset of all these is crowdfunding (group or community funding), also known as crowdsourced capital.

Crowdfunding is a new concept of funding projects that has seen a significantly growing trend in the Czech Republic and whose application and benefits are noticeable mainly in the public sector.

Conclusions

Fundraising as a set of methods aimed at raising the funds necessary for the execution of activities of a nonprofit organization is only an important means to an end. It must not become the objective of the organization's nonprofit activities, as this would significantly jeopardize its sustainability. Fundraising can be successful only on condition that the activities the nonprofit organization offers are beneficial for the community and thus contribute to society's sustainable development.

Marketing management, taking into account the current development trends in both marketing and society, offers a wide range of possibilities for building competitiveness and a strong position and growth of nonprofit organizations in the market. What continues to be a problem in the Czech Republic is the substantial inability of nonprofit organizations to utilize and effectively implement these tools in their marketing orientation and strategic approach.

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